

Policy Brief

Proposed Amendment to ORS 297.070: Performance Audit Recommendation Follow-Up Transparency

Proposal

Oregon's performance audit process provides an important mechanism for identifying opportunities to improve government efficiency, effectiveness, and accountability. However, after an audit is completed and an agency provides its initial response, there is currently limited public visibility into whether recommendations are implemented, delayed, modified, or declined.

This proposal would amend **ORS 297.070** to create a standardized system for tracking and publicly reporting the implementation status of performance audit recommendations.

Importantly, this proposal builds upon Oregon's existing performance audit framework rather than creating a new oversight program. The goal is simple: when Oregon identifies an opportunity to improve government operations, the public and policymakers should be able to see what happens next.

Current Challenges

Oregon already has a strong performance audit system. The Secretary of State conducts audits that identify potential improvements across state government, and agencies respond to audit recommendations.

However:

- Audit recommendations are not tracked through a consistent statewide status system.
- Agency follow-up reporting varies between audits and agencies.
- The public must often review individual audit reports and agency responses to determine whether recommendations were addressed.
- There is no comprehensive statewide picture of how effectively audit recommendations are being implemented.

This creates a gap between identifying opportunities for improvement and providing policymakers and the public with a consistent understanding of how agencies respond over time.

Proposed Policy Change

Amend **ORS 297.070** to establish a Performance Audit Recommendation Follow-Up and Transparency System.

The proposal would:

1. Establish standardized recommendation tracking

Require agencies to provide periodic updates on the status of audit recommendations until recommendations are resolved or formally closed.

2. Create consistent reporting categories

Direct the Secretary of State to establish standardized implementation statuses, such as:

- Implemented
- In Progress
- Partially Implemented
- Not Implemented
- Superseded

3. Develop a public recommendation database

Direct the Secretary of State to maintain a publicly accessible electronic system for reporting the status of performance audit recommendations. The system should be searchable and available without charge. Examples of searchable items might include:

- audit reports;
- individual recommendations;
- agency responses;
- implementation status;
- dates of updates;
- final resolution information.

4. Provide annual statewide reporting

Require a summary of audit recommendation outcomes, including:

- recommendations issued;
- recommendations implemented;
- recommendations remaining open;
- implementation trends over time.

5. Preserve existing agency discretion

Clarify that:

- agencies retain authority to determine appropriate responses to recommendations;
- recommendations remain advisory;
- the amendment improves transparency rather than requiring implementation.

What This Proposal Does Not Do

This proposal would not:

- Require agencies to adopt every audit recommendation.
- Create penalties for agencies.
- Expand the authority of the Secretary of State.
- Create a new government office.
- Require the Secretary of State to certify or verify agency implementation claims.
- Create a private right of action or judicial enforcement mechanism.

Implementation Approach

To minimize fiscal impact, implementation could occur in phases:

- **Phase I:** Standardized reporting requirements.
- **Phase II:** Development of a publicly accessible recommendation tracking system.
- **Phase III:** Annual statewide implementation summary.

Why This Matters

Better Use of Existing Oversight Tools

Oregon already invests resources in identifying ways to improve government operations. Better tracking ensures that audit findings remain useful after reports are published.

Stronger Legislative Oversight

Legislators would have clearer information about whether agencies have addressed the identified challenges.

Greater Public Confidence

A transparent follow-up process demonstrates that government accountability efforts lead to measurable outcomes.

Fiscal Impact

The proposal is expected to have a limited fiscal impact because it builds upon existing audit processes.

Potential costs may include:

- maintaining an online tracking system;
- administrative reporting;
- Secretary of State rulemaking.

This proposal represents an incremental improvement to Oregon's existing accountability framework. It does not expand government authority or alter the advisory nature of performance audits. Instead, it seeks to ensure that audit recommendations remain visible, measurable, and useful to legislators, agencies, and the public throughout the implementation process.